

# The **equity unlock** decision

How one property funds the next, without selling.

**THE GAP**

# Paper vs usable

- ▶ Paper equity is the valuation.
- ▶ Usable equity is about 80% of value, less the loan.
- ▶ The top 20% needs LMI to touch.

**THE GAP**

# Will it service?

- ▶ A release is new borrowing.
- ▶ It is tested at the buffer rate.
- ▶ Serviceability caps it, not equity.

**THE RELEASE**

# What it is for

- ▶ Only release for a deployable asset.
- ▶ A deposit on something that grows.
- ▶ If you can't name it, don't release it.

**THE RELEASE**

# How to structure

- ▶ A separate split, not a refinance.
- ▶ Interest only, parked in offset.
- ▶ Keeps the interest deductible.

---

# Structure before asset.

Run the four gates in order and one property quietly funds the next. Full breakdown in this week's edition.